



**JABATAN PEMBANGUNAN KEMAHIRAN
KEMENTERIAN SUMBER MANUSIA
ARAS 7 & 8 BLOK D4, KOMPLEKS D
PUSAT PENTADBIRAN KERAJAAN PERSEKUTUAN
62530 PUTRAJAYA**

KERTAS PENERANGAN (INFORMATION SHEET)

KOD DAN NAMA PROGRAM / <i>PROGRAM CODE AND NAME</i>	Z-009-3: 2015CORE ABILITIES	
TAHAP / LEVEL	3 (THREE)	
NO. DAN TAJUK KEBOLEHAN TERAS <i>ICORE ABILITY NO. AND TITLE</i>	CA05 ADMINISTRATIVE SKILL	
NO. DAN PENYATAAN KEBOLEHAN / <i>ABILITY NO. AND STATEMENT</i>	05.01 WORK ASSET USAGE AWARENESS 05.02 NEGOTIATE ACCEPTANCE AND DELIVERY OF PRODUCTS AND/OR SERVICES 05.03 IMPLEMENT WORK FORCE RESOURCES PRACTICES	
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TAJUK / TITLE: CUSTOMER NEEDS, EXPECTATIONS AND SATISFACTIONS.

TUJUAN / PURPOSE:

The person who is competent in this CA shall be able to negotiate acceptance and delivery of products and/or services.

Upon completion of this competency unit trainees will be able to:-

1. Aware of the asset usage
2. Negotiate acceptance and deliveries
3. Implement human resources practices

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PENERANGAN / INFORMATION:

1. CUSTOMER NEEDS AND EXPECTATIONS

1.1 Customers Needs

Human needs are states of felt deprivation. They include basic physical needs for food, clothing, warmth and safety; social needs for belonging and affection; and individual needs for knowledge and self-expression. These needs are a basic part of the human makeup. Customer is defined as anyone who receives that which is produced by the individual or organization that has value.

Customer needs may be defined as the goods or services a customer requires to achieve specific goals. Different needs are of varying importance to the customer. An important part of the marketing process is to understand why a customer makes a purchase. Without such an understanding, businesses find it hard to respond to the customer's needs and wants.

1.1.1 Identification of customer needs:

- i) Communicate with your customers and find out how you can satisfy their needs better
- ii) Establish ways to record and interpret customer feedback
- iii) Use this information when making important decisions about marketing, buying, merchandising and selling

Profits will be enhanced if you know your customers' needs by considering the followings:

1.2 Marketing Strategy

- i) What are your customers' expectations?
- ii) Do you have the right product mix and services to best meet customer needs?
- iii) Will your pricing structure maximize your profits (how much are customers willing to pay)?
- iv) What are the best ways to get your message across?

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- v) Have you determined a reasonable budget for your marketing requirements?

1.3 Buying Power

- i) What is most likely to sell?
- ii) Plan your range.
- iii) Know the amount of stock that will sell, as well as the type, size, quality, color and other relevant factors.
- iv) Be objective

1.4 Merchandising

- i) How do you best display stock to maximize sales?

1.5 Selling

- i) How do you most effectively match customer needs with the benefits of your products or services?

1.6 Marketing

- i) What are your customers' expectations?
- ii) Do you have the right product mix and services to best meet customer needs?
- iii) Will your pricing structure maximize your profits (how much are customers willing to pay?)
- iv) What are the best ways to get your message across?
- v) Have you determined a reasonable budget for your marketing requirements?

1.7 Buying

- i) What are most likely to sell?
- ii) Plan your range.
- iii) Know the amount of stock that will sell, as well as the type, size, quality, color and other relevant factors.
- iv) Be objective

1.8 Merchandising

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- i) How do you best display stock to maximize sales?

1.9 Selling

- i) How do you most effectively match customer needs with the benefits of your products or services?

Customers have six basic buying needs pertaining to the product:

- i) Safety
- ii) Performance
- iii) Appearance
- iv) Comfort
- v) Economy
- vi) Durability

Finding out which buying needs are most important to your customers will allow you to match these needs to the benefits of your products. For example, a customer's buying need might be for comfort and economy - "These slippers are made from wool and are padded with foam, so therefore will be extremely comfortable. They are also on 'special' this week so represent a great buy!"

2. CUSTOMERS EXPECTATION

Customer expectations are continuously increasing. Brand loyalty is a thing of the past. Customers seek out products and producers that are best able to satisfy their requirements. A product does not need to be rated highest by customers on all dimensions, only on those they think are important.

Your customers will have differing needs and wants, however customers have common expectations. The importance of these expectations may vary, depending on the type of product or service they require. Common expectations are:

2.1 Service

Customers expect a level of service that they think is appropriate for their type of purchase. Someone who makes a small, spontaneous purchase may have a lesser service need than a customer who makes a large purchase.

2.2 Price

The cost of everything we purchase is becoming increasingly important; therefore the price component becomes a vital issue. The temptation for a business to compete on price is financially dangerous. It is a practice that should be avoided unless you have set out to be a 'discounter'. Alternatives to price cutting can include 'value adding' (can you add value to your products or services to make your business more competitive?).

2.3 Quality

Customers have expectations of quality and durability. They are less likely to question price if they are doing business with a company that has a reputation for quality.

2.4 Action

Customers need action when a problem or question arises. Everyone has a need for recognition and like to be treated as a 'priority'.

2.5 Appreciation

Customers need to know that we appreciate their business. Saying 'thank-you' through words and actions is a good starting point. Let customers know that you are glad they have chosen to do business with you - this conveys a positive message and encourages them to come back.

Your customers will have expectations of how their needs should be met. Find out what their expectations are and exceed them with exceptional customer service - this is a sure way of winning 'life-long' advocates for your business.

Remember that in order to improve your business profitability you will need to:

- i) Become familiar with your customers and establish trusting relationships with them
- ii) Ask your customers what their expectations are
- iii) Live up to their expectations and plan to exceed them whenever possible

- iv) Be consistent and courteous when serving your customers.

2.6 Stages Of Customers Expectation

- i) First stage

The most moderate expectations and form customer's expectation towards the product, "Must Have" or "Take for granted"

- ii) Second stage

Expectation in the form of regulations and specifications

- iii) Third stage

Expectation in the form of simplicity

2.7 Factors That Influence Customers Expectation

- i) Story or news rumoured by other people
- ii) Personal needs
- iii) Past experiences
- iv) External communication

2.8 Reason Customers Expectation Did Not Fulfil

- i) Customers confuse when communicate with the seller towards the product and service that they need
- ii) Customer confuse when analyzing offered product
- iii) Rumors about the products is not accurate
- iv) Competitors disturbance
- v) Response from seller is poor

3 CUSTOMERS SATISFACTION

Customers form expectations about the value and satisfaction that various market offerings will deliver and buy accordingly. Satisfied customers buy again and tell others about their good experiences. Dissatisfied customers often switch to competitors and criticize the products to others.

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The key to building lasting customer relationships is to create superior customer satisfaction. Satisfied customers are more likely to be loyal customers and to give the company a larger share of their business.

3.1 Definition of customers' satisfaction

- i) Customer's perception towards seller to accomplish their expectations
- ii) Customer's emotional perception towards product consumption experiences
- iii) Customer's satisfaction occur when the products or services is suitable or exceed customer's expectation

Customer satisfaction depends on the product's real performance relative to a buyer's expectations. If the product's performance falls short of expectations, the customer is dissatisfied. If performance matches expectations, the customer is satisfied. If performance exceeds expectations, the customer is highly satisfied or delighted.

Outstanding marketing companies go out of their way to keep important customers satisfied. Highly satisfied customers make repeat purchases and tell others about their good experiences with the product. Higher levels of customer satisfaction lead to greater customer loyalty, which in turn results in better company performance. The key is to match customer expectations with company performance. Smart companies aim to delight customers by promising only what they can deliver, then delivering more than they promise.

3.2 Importance of customer satisfaction:

- i) It costs between five and six times more to attract a new customer than to keep an existing one
- ii) Reason of customer's loyalty
- iii) Create an effective and challenge business world
- iv) Companies can boost profits by retaining more existing customers.
- v) Only one out of 25 dissatisfied customers will express dissatisfaction
- vi) Happy customers tell 4 to 5 others of their positive experience. Dissatisfied customers tell 9 to 12 how bad it was.
- vii) Two-thirds of customers do not feel valued by those serving them

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3.3 Customer satisfaction main benefits:

- i) Customers stay with the company longer
- ii) Customers deepen their relationship with company
- iii) Customers demonstrate less price sensitivity
- iv) Customers recommend company's products or services to others

3.4 The things that customer want :

- i) You keep your promises
- ii) You are willing to help
- iii) You inspire confidence
- iv) You treat customers as individuals
- v) You make it easy for customers to do business with you
- vi) All the physical aspects of your product or service give a favorable impression

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SOALAN / QUESTIONS:

1. Define what is customer needs

2. Define what is customer expectations

3. List three (3) basic buying needs that related to the products

4. What is the main benefit of customer satisfaction?

5. Give two (2) factors that influence customers expectations

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